

The other reason is that even index funds in emerging markets underperform the index because of high fees. Why would you buy a guaranteed loser? Marketing guys hold out the hope that maybe you will pick one of the funds that outperform the index.

Why did you recently decide to give back about three-quarters of your investor assets?

The type of trading around our core investment positions that I do to control risk in the portfolio is very time-consuming and burns a lot of heart muscle. It means that I have to work from five in the morning until nine at night every day. I start the morning with the Asian lunchtime and work through until the U.S. close. That's not very sane, is it? The \$20 million that I started with in September 2000 had grown to \$7.5 billion by February 2010, and that was with the hedge fund being closed for much of the period. We had \$3.5 billion in the hedge fund and \$4 billion in the long-only fund. I had started with three people, including myself, and the firm had grown to 35 people. So I ended up with a big team and lots of clients. It had all gotten very large and very time-consuming. I realized that if I continued the way I was going, I was eventually going to kill myself. Last February [2010], I decided to shrink my fund down to 20 percent of my former client base.

Was it a forced liquidation?

The only way we could reduce the number of our clients was to close the original fund and to simultaneously reopen a new fund, which is what we did. Last year, we gave our clients a one-year notice that the original fund would be closing. I wanted to give myself the flexibility to change my investment style.

Change it in what way?

In the original hedge fund, I had always committed to have at least 50 percent of my investments in emerging markets. If, for example, I didn't have any exposure to Asia, and Asia went mental, I would be afraid that my clients might sue me for incompetence. Whereas now, if I don't like Asia, and I want to get a bit more sleep in the morning, I can choose to not have any exposure in Asia and get up later.